EXECUTIVE SUMMARY

1. Introduction

The Municipality of Sta. Teresita (LGU) was formerly barrio Namunit, the largest barrio of the Municipality of Buguey. It is located about 15 kilometers east of its mother town. It was created by virtue of Republic Act (RA) No. 3728, which was approved on June 22, 1963. It was inaugurated on August 27, 1963 as regular municipality. It has thirteen (13) barangays with a total population of 16,578 and total household of 3,410. Its land area is approximately 16,698.93 hectares of plain, mountains and swampy lands rich with natural resources.

The Municipal Government is committed to serve its constituents by maximizing the utilization of its limited resources. Like other local government units, it enjoys total independence in managing, deciding and planning its own administrative, fiscal and development affairs in conformity with the national government's thrust for sustainable and economic growth, as provided for RA 7160, known as the Local Government Code of 1991.

Records show that through its fast and ever changing economic and political development, the municipality was awarded by institutions, both private and public, as follows:

1. Top 4 LGU Assessed Value
2. Exemplary Performance on Revenue Generation and Resource Mobilization on Receipts from Economic Enterprises
3. Rank 4 on Revenue Generation and Resource Mobilization on Receipts from Business Tax.
4. Certificate of Appreciation for consistently implementing the Social Pension Program with 100% compliance on liquidation requirements.

The audit covered the accounts and operations of the Municipality of Sta. Teresita, Cagayan for the calendar year 2019 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the International Public Sector Accounting Standards (IPSAS), whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, performance and compliance audits were conducted to achieve these audit objectives.

2. Financial Highlights

The highlights of the financial condition, financial performance, appropriations, allotments and obligations of the Municipality of Sta. Teresita, Cagayan for the year ended December 31, 2020, with comparative figures for calendar year 2019 are as follows:

Particulars	2020	2019	Increase/(Decrease)	
			Amount	Percentage
Financial Position				
Assets	328,698,209.52	190,827,131.57	137,871,077.95	72.25%
Liabilities	46,729,988.17	56,402,080.95	(9,672,092.78)	-17.15%
Govt. Equity	281,968,221.35	134,425,050.62	147,543,170.73	109.76%
Financial Performance				
Income	164,327,133.94	113,339,601.06	50,987,532.88	44.99%
Expense	95,333,153.07	88,740,055.47	6,593,097.60	7.43%
Appropriations, Allotments and Obligation				
Appropriations	150,168,258.29	139,790,933.87	10,377,324.42	7.42%
Allotments	150,193,996.29	139,790,933.87	10,403,062.42	7.44%
Obligations	114,227,667.10	112,969,955.75	1,257,711.35	1.11%

3. Independent Auditor's Report on the Financial Statements

We rendered a qualified opinion on the fairness of the presentation of the financial statements of the Municipality of Sta. Teresita, Cagayan as at December 31, 2020 due to the following:

1. One-time cleansing of Property, Plant and Equipment (PPE) account balances was not undertaken contrary to COA Circular No. 2020-006 dated January 31, 2020 due to non-conduct of physical count of PPE, thus, the accuracy of the "PPE" account in the financial statements amounting to P216,833,571.12 cannot be verified.

2. The "Road Network" account in the financial statements of the municipality amounting to P124,965,388.97 does not conform to the required 100% phased recognition of all local roads within its jurisdiction contrary to Item IX of COA Circular No. 2015-008 dated November 23, 2015.

4. Summary of Significant Audit Observations and Recommendations

Below is the recommendation on the above bases for qualified opinion:

1. We recommended that Management:

    1. Pursuant to COA Circular No. 2020-006 dated January 31, 2020, create an Inventory Committee to conduct physical inventory of all PPEs of the Municipality, whether acquired through purchase or donation, including those constructed by administration and found at station;

2. Thru the Inventory Committee created, update the property records based on the results of physical inventory, and reconcile with accounting records;

3. Undertake all other procedures prescribed under COA Circular 2020-006 dated January 31, 2020 to come up with the reconciled and correct balances of PPE accounts in the financial statements; and

4. After the inventory taking, direct the Municipal Accountant to prepare the updated ledger cards for each item of the PPE pursuant to Section 269 of the GAM for LGUs.

2. We recommended that the Municipal Mayor direct the concerned Department Heads to undertake their responsibilities provided in COA Circular No. 2015-008 dated November 23, 2015 to restate the "Road Network" account to its appropriate and fair balance.

The other significant audit observations and recommendations are as follows:

1. Procurements of various supplies, drugs and medicines related to COVID-19 response amounting to P2,475,524.24 were recorded as outright expenses instead of the appropriate inventory accounts contrary to pertinent provisions of Government Accounting Manual for Local Government Units, hence, safeguards thereon were not adequately undertaken.

   We recommended, pursuant to Sections 182, 187 and 189 Volume 1 of the Government Accounting Manual for LGUs to set up the proper safeguards on various supplies, drugs and medicines that:

   1. The GSO to accept the deliveries from suppliers and issue Requisition and Issue Slip for its transfer to the end-user. He should also maintain stock cards for each inventory items and submit to the Municipal Accountant the required Report of Materials and Supplies Issued five days after the end of the month.

   2. The Municipal Accountant record all inventories as asset upon delivery and acceptance and maintain Supplies Ledger Card for each specific type of Inventories; and

   3. The Municipal Mayor require periodic physical inventory of supplies and materials. The physical count of unissued inventory items by type shall be conducted at least once a year and reported in the Report of the Physical Count of Inventories (RPCI).

2. Procedures under negotiated procurement of two (2) emergency rescue vehicles amounting to P2,895,000.00 funded from Disaster Risk Reduction and Management Fund (DRRMF) resulting from two (2) failed public biddings were not complied in accordance with Item V of Annex H of the 2016 Revised

Implementing Rules and Regulations of RA 9184, thus, most advantageous price may not have been obtained by the Municipality in bypassing the transparency requirements.

We recommended that Management comply strictly with the provisions of the RA 9184 and its RIRR for its procurement under public bidding and alternative modes to ensure that the Municipality will get the most advantageous prices from its suppliers and contractors and ascertain compliance with the required transparency of government procurements.

3. The Municipality did not create special account in the general fund (SAGF) on the Bayanihan Grant to Cities and Municipalities (BGCM) amounting to P8,579,419.00 which was not in accordance with Local Budget Circular No. 125, thus, financial information needed to monitor fund utilization was not readily available.

   We recommended that Management strictly adhere to the rules and regulations on the creation of special accounts in the General Fund in accordance with Chapter 5 of GAM for LGUs, Volume in case the law governing utilization of the fund specifically so requires in order to present accurate balances of the affected accounts in the financial statements.

4. Information on the emergency procurement of goods and infrastructure projects amounting to P7,343,598.07 to avert the adverse effects of the COVID-19 pandemic were not posted by the Municipality in the GPPB online portal contrary to the provisions of the Government Procurement Policy Board (GPPB) Circular No. 01-2020 dated April 6, 2020 which provides the Guidelines for Emergency Procurement mandated under Republic Act No. 11469, or the Bayanihan to Heal as One Act (Bayanihan Act), hence, not compliant with the reportorial requirement of the law.

   We recommended management to post all the required information in the GPPB Online Portal relating to emergency procurement and comply with all other requirements to ensure transparency and accountability in the implementation of the Bayanihan Act in government procurement.

5. Donations from the National Food Authority (NFA) valued at P840,305.41 were not recorded in the books of accounts contrary to Section 187 of the Government Accounting Manual for LGUs prescribed under COA Circular No. 2020-004 dated January 31, 2020, thus, affected the income, expense and assets accounts in the financial statements of the Municipality.

   Also, various reports on the receipt and distribution/utilization/issuance of in-kind donations received by the LGU as at December 31, 2020 were not furnished to this Office which is not in accord with Part IV-C and V-B of COA

Circular No. 2014-002 dated April 15, 2014, thus, casts doubt on whether the donations were utilized for or issued to the intended recipients.

We recommended that management:

a. Direct all concerned departments who are receiving goods in-kind from National Government Agencies or from any source, to inform and coordinate with the General Services Office (GSO), for the inspection and receipt of such goods, before issuance to the concerned end users or recipients;

b. Advise the GSO to prepare the reports as mandated under COA Circular No. 2014-002 dated April 15, 2014 to attain transparency in the receipt, distribution and issuance of all in-kind donations and ensure that the donations have reached the intended recipients, then furnish the accounting office the necessary records on the receipt and issuance for proper recording in the books of accounts; and

c. Instruct the accounting office to make necessary adjustment to recognize the unrecorded transactions and effect prompt recognition in the books of accounts all forthcoming in-kind donations pursuant to Sections 187 and 188 of the GAM for LGUs prescribed under COA Circular No. 2020-004 dated January 31, 2020.

5. Summary of Total Suspensions, Disallowances and Charges

The Municipality has zero (0) Suspensions, zero (0) Disallowances and zero (0) Charges as at December 31, 2020.

6. Status of Implementation of Prior Years' Audit Recommendations

Out of the thirteen (13) audit recommendations of prior year's report, nine (9) were fully implemented, three (3) were partially implemented and the remaining one (1) was not implemented as at year-end.